RIGACAP · THE STORY SO FAR

How a Trading System Learned to *Unlearn*

The road from **DWAP and 8% stop-losses** to a two-tier, regime-adaptive engine — told through the comfortable ideas we had to give up along the way. Nearly every real improvement came not from a cleverer signal, but from **abandoning something we (and most of the industry) took for granted.**

A plain-English walkthrough · Prepared July 2026

What the system does is simple to say: every day it ranks stocks by momentum, decides what (if anything) to buy, holds through the noise, and — crucially — knows when to step aside. What took years was learning *how* to do each of those well. The honest version of that journey is a series of moments where the data contradicted a rule we'd inherited or invented, and we chose to believe the data. Here are the ones that mattered.

The journey, one hard lesson at a time

1

THE INHERITANCE · LEGACY ENGINE

A machine with 45 indicators and 46 rules

THE ACCEPTED IDEA

More indicators, more rules, more edge. The legacy system had **48 database tables, 45 technical indicators, and 46 trading rules** spread across 127 stored procedures, built around a single metric — DWAP (a smoothed average price).

WHAT THE DATA SHOWED

Most of the indicators overlapped or simply added noise. A small handful of robust signals did nearly all the real work; the rest was complexity dressed up as sophistication.

WHAT WE DID

Ported only the pieces that earned their keep into a clean, modern system — and started measuring everything honestly.

2

THE FIRST BIG MYTH · EXITS

"Cut your losses fast" was costing us the winners

THE ACCEPTED IDEA

Every trading book preaches it: cut losses quickly with a tight stop (we used **8%**, later 12%), and take profits at a fixed target (**+20%**).

WHAT THE DATA SHOWED

Tight stops shook us out of good positions right before they recovered — death by a thousand small, "disciplined" losses. And the profit target quietly capped the handful of big winners that pay for everything else.

WHAT WE DID

Flipped the rule: let winners run, and widen the leash to a **~30% trailing stop** that only exits on a genuine trend break. Counter-intuitive, but the math is decisive.

> **The lesson:** for a momentum strategy, cutting your losses can be the losing move. The rare, enormous winners are the whole game — a tight stop trades them away.

3

THE SECOND MYTH · POSITION SIZING

Concentration wasn't conviction — it was the disease

THE ACCEPTED IDEA

"Bet big on your best ideas." Our strongest-looking version held just **5–6 positions at 15–18% each**.

WHAT THE DATA SHOWED

That concentration turned ordinary market wobbles into stomach-churning drawdowns. One bad name could wreck a whole month. The *engine* was fine; the *sizing* was the problem.

WHAT WE DID

Spread the same signals across **~20 positions at ~4.5% each**. Identical strategy, dramatically smoother ride — the single biggest improvement to how it *feels* to actually hold.

4

THE RECKONING · HONESTY

Our best numbers were a mirage

THE ACCEPTED IDEA

A great backtest predicts a great future. We had gaudy ones — hundreds of percent of "return," a headline Sharpe of 1.48, an optimizer run that promised +240%.

WHAT THE DATA SHOWED

The numbers were inflated by four quiet sins: **stock splits** not properly adjusted, **survivorship bias** (testing only the companies that lived), a single **lucky time window**, and **over-optimization** (curve-fitting the past). Strip those away and the gaudy edge largely evaporated.

WHAT WE DID

Tore it down and rebuilt on **point-in-time data that includes the companies which later failed or were delisted** — the unforgiving, honest version. Painful, but every number from here on is real.

> **The turning point:** the discipline stopped being about the strategy and started being about the *measurement*. A humbler true number beats an impressive false one, every time.

5

THE HONEST ENGINE · CORE

It's not built to win every year — and that's the point

THE ACCEPTED IDEA

The goal of any strategy is to beat the market, every year.

WHAT THE DATA SHOWED

Rebuilt honestly over **20 continuous years (2007–2026, including 2008, 2020, and 2022)**, the engine returned about **8% a year** — a touch under the market's ~10% — but with roughly **one-third of the market's worst drawdown** (~19% vs the market's ~55% in the deep crashes). It *lags* in roaring bull markets and *wins* in the frightening ones.

WHAT WE DID

Stopped pretending it was a get-rich engine and named it for what it is: **capital preservation** — behavioral insurance for the moments that make people sell at the bottom. Then aimed it at the person it actually fits, instead of everyone.

6 A SUBTLER MYTH · MARKET "WEATHER"

The market isn't just "up" or "down"

THE ACCEPTED IDEA

There are two states of the world: bull market and bear market. Act accordingly.

WHAT THE DATA SHOWED

A choppy, sector-rotating bull behaves nothing like a smooth, powerful one; a panic looks nothing like the recovery that follows it. We found **seven** distinguishable "regimes," each rewarding a different tactic.

WHAT WE DID

Taught the system to read the regime and switch playbooks — a patient dip-buy in calm uptrends, a deep-rebound buy after capitulations, the momentum engine the rest of the time. One engine, adapting to the weather.

7 THE LAST MYTH · CRASH DEFENSE

You can't flag a crash the market can't see

THE ACCEPTED IDEA

A market-level warning signal will get you out before a crash. Our aggressive breakout engine had one ugly scar: a **-33%** plunge in the 2021 "momentum crash."

WHAT THE DATA SHOWED

Through that entire crash, every market-regime signal read a calm "rotating bull." The danger was *inside* the strategy, invisible from the market's altitude — no flag could have fired.

WHAT WE DID

Stopped watching the market and started watching the **strategy's own turbulence**: when its volatility spikes, it automatically eases off the gas — a seatbelt, not a crystal ball. It roughly **halves** that crash.

8

WHERE IT LANDED · TODAY

One engine, a dial you set

THE RESULT

Everything above rolls into a single **risk dial** with two settings on the same regime-adaptive engine. You choose the level; the system adapts to the market — and the unlearning paid off in both directions:

Preserver CAPITAL PROTECTION

+31% per year

−13% worst drop

The flagship. Strong growth with the shallow drawdown that lets you actually stay invested.

Maximizer SEATBELT ON

+49% per year

−17% worst drop

Aggressive upside, with the volatility brake keeping the crash tail in check.

Recent two-year backtest — measured the honest way, the same way every number after Milestone 4 is.

The scoreboard of retired ideas

Ideas we let go of

- ~~More indicators = more edge~~ → a few robust signals
- ~~Cut losses fast (8–12% stop)~~ → a wide ~30% trailing stop
- ~~Take profits at a target~~ → let winners run
- ~~Concentrate (5–6 big bets)~~ → diversify (~20 small ones)
- ~~The backtest is real~~ → test on the ones that failed, too
- ~~Beat the market every year~~ → win the bad years
- ~~Bull vs. bear~~ → seven distinct regimes
- ~~A flag will warn you~~ → watch your own volatility

Principles we kept

- **Momentum is real** — winners tend to keep winning, for a while.
- **Behavior beats brilliance** — the edge is not panicking, not a magic indicator.
- **Drawdown is the enemy** — protect the downside and the returns take care of themselves.
- **Measure honestly** — a true small number beats a false large one.
- **Fit the person, not everyone** — the right strategy for the wrong investor still fails.

THE THROUGHLINE

The biggest edge we found wasn't a smarter signal. It was the willingness to unlearn comfortable ideas — and to demand honesty from the numbers, even when the honest answer was smaller.

Every milestone here started the same way: a rule everybody "knew" was right, a set of data that quietly disagreed, and a decision to trust the evidence over the received wisdom. That habit — more than any one indicator — is the actual product.

A note on the numbers. Figures are drawn from point-in-time backtests (including the companies that later failed or were delisted) over the periods stated and are rounded for readability; drawdown (worst peak-to-trough decline) is treated as the headline risk measure throughout. Backtested results are not a guarantee of future performance. This document is a plain-English explanation of the system's design history, not investment advice or an offer of any security.